

March 14, 2023

Senator Jeb Bradley
President, New Hampshire Senate
State House, Room 302
107 North Main Street
Concord, NH 03301

Senator James Gray
President Pro Tempore, New Hampshire Senate
State House, Room 105
107 North Main Street
Concord, NH 03301

Senator Sharon M. Carson
Majority Leader, New Hampshire Senate
State House, Room 302
107 North Main Street
Concord, NH 03301

Senator Dan Innis
Assistant Majority Leader, New Hampshire Senate
State House, Room 302
107 North Main Street
Concord, NH 03301

Senator Donna M. Soucy
Democratic Leader, New Hampshire Senate
State House, Room 120
107 North Main Street
Concord, NH 03301

Senator Shannon Chandley
Legislative Office Building, Room 102-A
33 North State Street
Concord, NH 03301

Senator Cindy Rosenwald
State House, Room 120
107 North Main Street
Concord, NH 03301

Senator Denise Ricciardi
State House, Room 106
107 North Main Street
Concord, NH 03301

RE: SB 255-FN – Oppose

Dear Senator Bradley, Senator Gray, Senator Carson, Senator Innis, Senator Soucy, Senator Chandley, Senator Rosenwald, and Senator Ricciardi:

On behalf of the advertising industry, we write to respectfully ask you to decline to advance New Hampshire SB 255-FN as it is currently drafted.¹ We and the companies we represent, many of whom do substantial business in New Hampshire, strongly believe consumers deserve meaningful privacy protections supported by reasonable laws and responsible industry data policies. However, as presently drafted, SB 255-FN contains provisions that are out-of-step with privacy laws in other states as well as sectoral privacy laws at the federal level. We would welcome the opportunity to engage with you further on our suggested amendments to SB 255-FN outlined here.

I. New Hampshire Should Take Steps to Harmonize Its Approach to Privacy with Other State Laws

Harmonization with existing privacy laws is essential for creating an environment where consumers in New Hampshire and other states have a consistent set of expectations, while minimizing compliance costs for businesses. Compliance costs associated with divergent privacy laws are significant. To make the point: a regulatory impact assessment of the California Consumer Privacy Act of 2018 (“CCPA”) concluded that the initial compliance costs to California firms for the CCPA

¹ New Hampshire SB 255-FN, Gen. Court Reg. Sess. (2023), located [here](#).

alone would be \$55 billion.² Additionally, a recent study on a proposed privacy bill in a different state found that the proposal would have generated a direct initial compliance cost of between \$6.2 billion to \$21 billion, and an ongoing annual compliance cost of between \$4.6 billion to \$12.7 billion for companies.³ Other studies confirm the staggering costs associated with different state privacy standards. One report found that state privacy laws could impose out-of-state costs of between \$98 billion and \$112 billion annually, with costs exceeding \$1 trillion dollars over a 10-year period and small businesses shouldering a significant portion of the compliance cost burden.⁴ New Hampshire should not add to this compliance burden for businesses and should instead opt for an approach to data privacy that is in harmony with already existing state privacy laws.

II. SB 255-FN Should Adopt an “Actual Knowledge” Standard for the Collection of Personal Data From Children to Align with Federal Privacy Law and Other State Laws

The proposed amendment to SB 255-FN significantly diverges from federal and state privacy requirements by removing the knowledge standard for the bill’s requirements related to personal data collected from a child. As drafted under the amendment, the bill would require opt-in consent for a controller to process personal information “concerning” a child.⁵ This approach is not present in any other state privacy law that has been enacted to date; all other state privacy laws assign requirements related to “known” children, or place requirements on entities when they have “actual knowledge” they are processing personal data associated with a child.

Moreover, the requirement is entirely misaligned with the federal Children’s Online Privacy Protection Act (COPPA), which similarly places requirements on operators of websites or online services when such operators maintain child-directed digital properties or have *actual knowledge* their users are children. SB 255-FN’s requirements would consequently contradict the approach taken in every other state privacy law as well as intrude upon and conflict with an area that is already settled in federal law.

Absent amendment to SB 255-FN to clarify that the bill would apply an “actual knowledge” standard with respect to requirements related to consumers under age 13, courts could read the bill’s language to impose a constructive knowledge standard. Applying a constructive knowledge standard to this requirement would likely force every controller doing business in New Hampshire to implement an age gate before *any consumer* could access the business’s offerings online. Such an age gate would significantly hinder New Hampshire minors’ ability to access free and informational content online and would substantially hinder New Hampshire adults’ ability to traverse the Internet freely and easily. We encourage you to amend SB 255-FN so it applies an actual knowledge standard to data processing restrictions related to children.

² See State of California Department of Justice Office of the Attorney General, *Standardized Regulatory Impact Assessment: California Consumer Privacy Act of 2018 Regulations* at 11 (Aug. 2019), located at <https://www.oag.ca.gov/sites/all/files/agweb/pdfs/privacy/ccpa-isor-appendices.pdf>.

³ See Florida Tax Watch, *Who Knows What? An Independent Analysis of the Potential Effects of Consumer Data Privacy Legislation in Florida* at 2 (Oct. 2021), located at <https://floridataxwatch.org/DesktopModules/EasyDNNNews/DocumentDownload.ashx?portalid=210&moduleid=34407&articleid=19090&documentid=986>.

⁴ Daniel Castro, Luke Dascoli, and Gillian Diebold, *The Looming Cost of a Patchwork of State Privacy Laws* (Jan. 24, 2022), located at <https://itif.org/publications/2022/01/24/looming-cost-patchwork-state-privacy-laws> (finding that small businesses would bear approximately \$20-23 billion of the out-of-state cost burden associated with state privacy law compliance annually).

⁵ See Amendment to New Hampshire SB 255-FN, located [here](#).

III. Broad Opt-in Consent Requirements Impede Consumers from Receiving Critical, Relevant Information and Messages

The data-driven and ad-supported online ecosystem benefits consumers and fuels economic growth and competition. Companies, nonprofits, and government agencies alike use data to send varying groups of individuals specific, relevant messages. Tailored messaging provides immense public benefit by reaching individual consumers with information that is relevant to them in the right time and place. Legal requirements that limit entities' ability to use demographic data responsibly to reach consumers with important and pertinent messaging, such as those set forth in SB 255-FN's sensitive data opt-in consent requirements, can have unintended consequences and, ultimately, serve as a detriment to consumers' health and welfare.

One-size-fits-all opt-in requirements for data uses run the risk of regulating out of existence messaging and information which is more relevant to individuals and helpful to businesses, governments, and non-profits. To ensure uses of demographic data to benefit New Hampshire residents can persist, and to help maintain a competitive business marketplace, we encourage you to remove the broad opt-in consent requirement for "sensitive data" processing from the bill. We suggest that you replace it with a requirement for opt-in consent only when such "sensitive data" will be used in furtherance of decisions that produce legal or similarly significant effects concerning a consumer. Such an approach would not only help to maintain competitive balance, but also reduce the risk of notice fatigue which some other laws have created as an unintended consequence.⁶

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⁶ Kate Fazzini, *Europe's sweeping privacy rule was supposed to change the internet, but so far it's mostly created frustration for users, companies, and regulators*, CNBC (May 5, 2019), located at <https://www.cnbc.com/2019/05/04/gdpr-has-frustrated-users-and-regulators.html>.

We and our members support protecting consumer privacy. We believe, however, that SB 255-FN would impose particularly onerous requirements on entities doing business in the state and would unnecessarily impede New Hampshire residents from receiving helpful services and accessing useful information online. We therefore respectfully ask you to reconsider SB 255-FN or amend it to reflect the recommendations set forth in this letter.

Thank you in advance for consideration of this letter.

Sincerely,

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CC: Members of the New Hampshire Senate

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